

FINANCE

Procurement Policy

Approval thresholds, competitive quotations, vendor onboarding, evaluation and procure-to-pay controls

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Applies to	All departments purchasing goods or services	Classification	Internal - Confidential

Abstract. This policy establishes how Nexora buys goods and services. It sets approval authority and quotation requirements by purchase value, defines the vendor onboarding and evaluation process, and describes the procure-to-pay workflow including three-way matching and payment terms. The objectives are value for money, transparency, segregation of duties and compliance with tax and legal requirements in Pakistan.

Keywords: procurement, purchase order, quotations, RFP, vendor onboarding, approval matrix, three-way match

1. Objectives and Roles

- **Requester:** raises the purchase requisition with business justification and budget code.
- **Department head:** confirms the need and budget availability.
- **Procurement team:** runs quotations and tenders, negotiates and issues purchase orders (POs).
- **Finance:** checks budget, matches invoices and releases payment.
- **Legal and InfoSec:** review contracts and software or cloud purchases that process company or customer data.

Rule: No commitment may be made to a vendor, verbally or in writing, before a PO is approved. Purchases made without an approved PO are not paid unless ratified by the CFO.

2. Approval Thresholds

Approval authority and competitive requirements depend on the total value of the purchase (excluding sales tax) and cannot be avoided by splitting a purchase into smaller orders.

Table 1. Approval matrix and sourcing requirements (PKR).

Tier	Purchase value	Sourcing requirement	Approval
1	Up to 100,000	1 quotation	Department head
2	100,001 to 500,000	Minimum 3 quotations	Department head and Finance Manager
3	500,001 to 2,500,000	3 quotations and a comparative statement	Department head and CFO
4	2,500,001 to 10,000,000	Formal RFP or tender, evaluated by the procurement committee	CEO
5	Above 10,000,000	Formal RFP or tender	CEO and Board of Directors

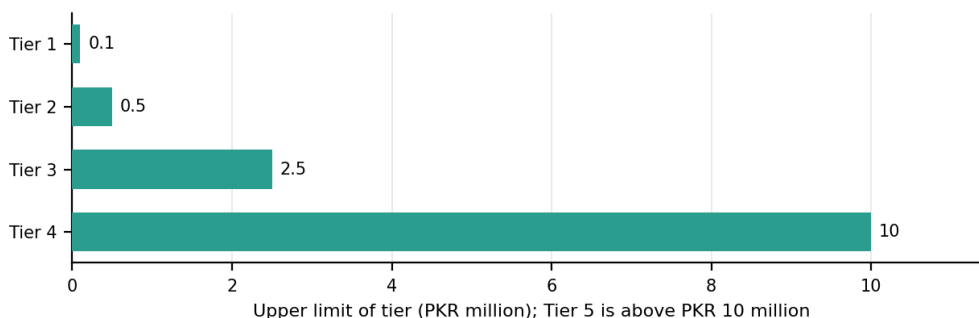


Figure 1. Upper purchase value of each approval tier.

2.1 Exceptions

- **Sole-source purchases** need a written justification form (unique capability, compatibility or urgency) approved one level above the normal approver.
- **Emergency purchases** needed to restore a production service may proceed with verbal approval of the CTO or CFO; the PO must be raised within 2 working days.
- Recurring subscriptions are approved for the contract term and reviewed annually.

3. Vendor Onboarding and Evaluation

A vendor must be registered before its first PO. Procurement collects the vendor's NTN and sales tax registration (STRN), active taxpayer status, bank account details on company letterhead, a signed conflict-of-interest declaration and, for IT vendors, an InfoSec questionnaire. Vendors are re-reviewed every 2 years.

Quotations are scored using weighted criteria (Figure 2). Price alone does not decide the award, but the lowest-priced compliant vendor must be selected unless a written justification is approved.

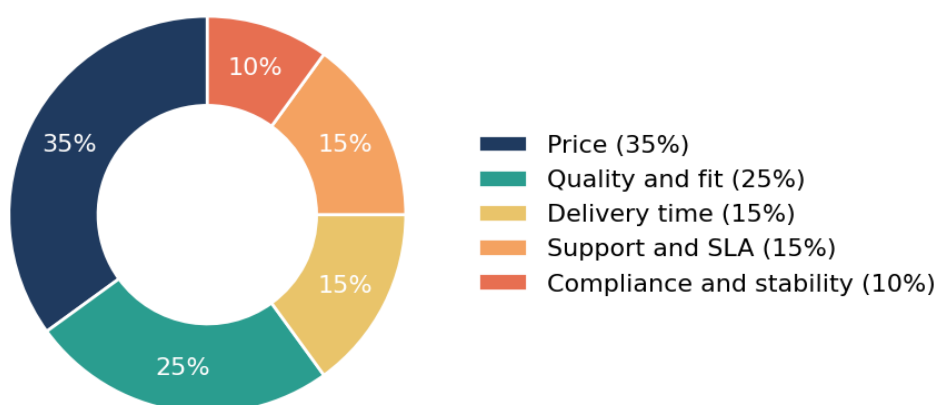


Figure 2. Vendor evaluation scoring weights.

4. Procure-to-Pay Process

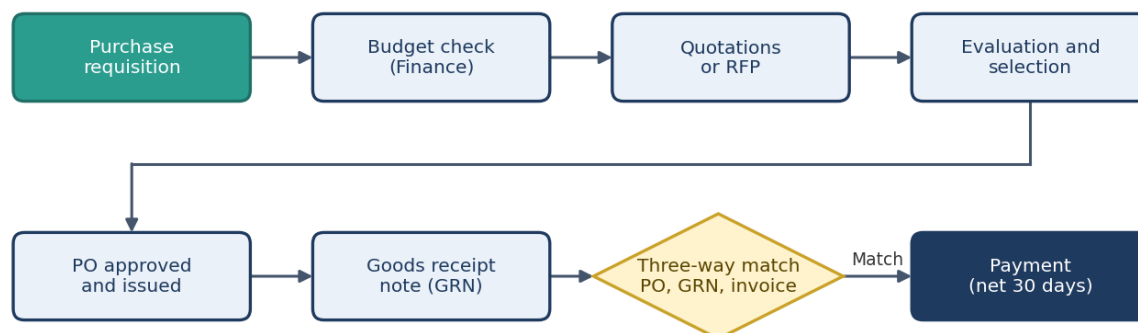


Figure 3. Procure-to-pay workflow.

An invoice is paid only when the **three-way match** succeeds: the PO, the goods receipt or service acceptance, and the vendor invoice agree on quantity, price and terms. Discrepancies are returned to the vendor within 3 working days.

4.1 Payment Terms

Table 2. Standard payment terms.

Item	Rule
Standard credit period	Net 30 days from receipt of a correct invoice
Advance payment	Up to 30% of PO value; above PKR 1,000,000 a bank guarantee is required
Payment run	Weekly on Thursday; urgent payments with CFO office approval
Withholding taxes	Income tax and sales tax withholding are deducted per Pakistan tax law and depend on the vendor's active taxpayer status; tax certificates are issued
Invoice currency	PKR; foreign-currency contracts require Finance approval and use the State Bank rate on the invoice date

5. Contracts, Software and Records

- Contracts above PKR 500,000 are reviewed by Legal; software, SaaS and cloud purchases are reviewed by InfoSec before approval.
- Conflicts of interest must be declared before evaluation; an involved employee is excluded from the decision.
- Gifts from vendors above PKR 5,000 must be reported (see Employee Handbook, NX-HR-002).
- Procurement files (requisition, quotations, evaluation, PO, GRN, invoice, payment) are retained for **7 years**.

6. References

- [1] Nexora Expense Policy, NX-FIN-001.
- [2] Nexora Employee Handbook, NX-HR-002 (conflict of interest and gifts).
- [3] Sales Tax Act, 1990 and Income Tax Ordinance, 2001 (Pakistan).
- [4] Public Procurement principles: transparency, competition and value for money (adopted as internal best practice).

7. Revision History

Table 3. Document revision history.

Version	Date	Author	Summary of change
2.0	01 Jan 2025	Finance Policy Team	Introduced five-tier approval matrix
2.5	01 Sep 2025	Finance Policy Team	Added InfoSec review for SaaS purchases
3.0	01 Jan 2026	Finance Policy Team	Raised Tier 1 limit to PKR 100,000; added vendor scoring weights and three-way match